Royal Bank of Canada (RY)

HSBC Canada Adds Scale; Credit and Integration Set the Near-Term Bar

RY, TSX / NYSE | Financials | Diversified Banking

OVERWEIGHT

Price (22 Aug 2024):	C$154.30
Price Target (Dec-25):	C$175.00

INVESTMENT THESIS

RBC reported Q2 net income of C$4.0bn and adjusted EPS of C$2.92, up 9%. Record Capital Markets earnings and growth in Personal and Commercial Banking supported the result, while provisions for credit losses reached C$920mm.

The HSBC Canada acquisition closed in March and increases domestic scale, commercial relationships and affluent-client reach. Integration benefits are attractive, but capital use, expense delivery and credit performance must be demonstrated.

Our C$175 December 2025 target applies 13.6x FY25E adjusted EPS of C$12.90 and is cross-checked against book value. A diversified earnings mix and strong franchise justify a premium, tempered by Canadian consumer and housing risk.

- Q2 adjusted net income was C$4.2bn, adjusted EPS C$2.92 and adjusted ROE 15.5%.
- Total provisions for credit losses were C$920mm and CET1 was 12.8%; HSBC Canada integration is the major execution variable.
- Our C$175 December 2025 target implies 13.4% price upside. Estimated dividends add 4.9%, for approximately 18.3% total return.

COMPANY OVERVIEW

RBC is Canada's largest bank, with personal and commercial banking, wealth management, capital markets, insurance and U.S. operations. Distribution, deposits and diversified fee businesses support returns; credit, housing, regulation and integration are key risks.

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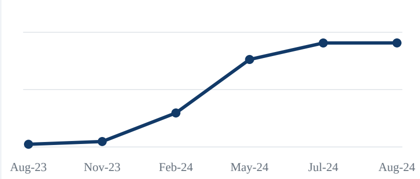
Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Diluted shares	~1.42bn
Market cap	~C$219bn
52-week range	~C$108-155
Quarterly dividend	C$1.42
Q2 adjusted EPS	C$2.92
Q2 adjusted ROE	15.5%
Q2 CET1 ratio	12.8%
Latest results	Q2 2024

KEY ESTIMATES

C$bn unless noted	FY22A*	FY23A	FY24E	FY25E
Revenue	48.985	51.464	61.5	66.0
Adj. NI to common	15.738	15.586	17.3	18.2
Adjusted EPS	11.19	11.19	12.20	12.90
Adjusted ROE	16.6%	15.5%	~15.7%	~16%
BVPS	72.85	76.92	~88	~95

Q2 2024: BROAD EARNINGS GROWTH BEFORE FULL HSBC INTEGRATION

Adjusted earnings rose across the core franchise, led by record Capital Markets and improved banking results. Credit costs increased and the acquired HSBC Canada platform contributed only part of the quarter, limiting the usefulness of a simple annualized run rate.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Net income	C$3.7bn	C$3.6bn	C$4.0bn	+7%	Broad growth
Adjusted net income	C$3.8bn	C$4.1bn	C$4.2bn	+11%	Core result
Diluted EPS	C$2.60	C$2.50	C$2.74	+5%	Reported
Adjusted EPS	C$2.68	C$2.85	C$2.92	+9%	Clean result
Adjusted ROE	15.3%	~15%	15.5%	+20bp	Premium return
PCL	~C$0.6bn	~C$0.8bn	C$0.92bn	Higher	Normalization
CET1 ratio	13.7%	14.9%	12.8%	Down	HSBC close

FORECAST AND EARNINGS FRAMEWORK

FY24E includes a partial contribution from HSBC Canada and acquisition costs; FY25E captures a full year plus early synergies. We assume provisions remain elevated but manageable, capital rebuilds and adjusted ROE returns toward 16%.

C$bn unless noted	FY22A*	FY23A	FY24E	FY25E	FY26E
Revenue	48.985	51.464	61.5	66.0	69.5
Adj. NI to common	15.738	15.586	17.3	18.2	19.3
Adjusted EPS	11.19	11.19	12.20	12.90	13.70
EPS growth	-	0%	9%	6%	6%
Adjusted ROE	16.6%	15.5%	~15.7%	~16.0%	~16.0%
BVPS	72.85	76.92	~88	~95	~102
Dividend / share	4.96	5.34	5.60	6.00	6.30
PCL-on-loans ratio	6bp	29bp	~34bp	~34bp	~32bp
CET1 ratio	12.6%	14.5%	~13.0%	~13.2%	~13.5%

INTEGRATION AND CREDIT MUST BOTH COOPERATE

HSBC Canada adds attractive customers and deposits, but integration costs arrive before all revenue and expense benefits. At the same time, Canadian credit is normalizing. We require visible synergy delivery without a material deterioration in provisions.

GROWTH DRIVERS: CANADIAN SCALE, WEALTH AND CAPITAL MARKETS

RBC combines leading domestic distribution with global wealth and capital-markets franchises. The mix diversifies earnings, while a high valuation requires disciplined execution across businesses.

Driver	FY23A	Q2/24	FY25E	FY26E	Investment implication
Adjusted EPS	C$11.19	C$2.92	C$12.90	C$13.70	Earnings growth
Adjusted ROE	15.5%	15.5%	~16%	~16%	Valuation anchor
HSBC Canada	Pending	Closed	Full year	Synergies	Scale benefit
PCL	Normalizing	C$920mm	Elevated	Moderate	Credit risk
CET1	14.5%	12.8%	~13.2%	~13.5%	Capital rebuild
Dividend	C$5.34	C$1.42 qtr	C$6.00	C$6.30	Income support

PERSONAL AND COMMERCIAL BANKING

HSBC Canada expands deposits, mortgages, commercial relationships and affluent clients. Retention and integration cost delivery determine the value of that scale.

WEALTH AND CAPITAL MARKETS

Fee businesses diversify spread income. Capital Markets can produce strong quarters but remains market-sensitive, while wealth management benefits from long-duration client assets.

CREDIT AND CAPITAL

Household leverage and commercial real estate warrant attention. A 12.8% CET1 ratio remains above requirements, but capital must rebuild after the acquisition before buybacks can become a larger EPS driver.

VALUATION AND PRICE TARGET

Our December 2025 target is C$175. The primary framework applies 13.57x to our FY25E adjusted EPS of C$12.90. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
Forward P/E	50%	13.57x FY25E C$12.90	C$175	Diversified premium bank
Cash-flow model	30%	10% cost of equity	C$168	Cash conversion
Peer check	20%	~1.95x forward book	C$185	Relative valuation
Weighted target	100%		C$175	Rounded target

VALUATION SENSITIVITY

FY25E EPS / P-E	10.0x	12.0x	14.0x	16.0x	18.0x
C$10.96	C$110	C$132	C$154	C$175	C$197
C$12.25	C$123	C$147	C$172	C$196	C$221
C$12.90	C$129	C$155	C$181	C$206	C$232
C$13.55	C$135	C$163	C$190	C$217	C$244

At C$154.30, the shares trade at 12.0x our FY25E adjusted EPS. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	HSBC synergies beat; benign credit; 17% ROE	C$214
Base	55%	Orderly integration; 16% ROE; stable credit	C$175
Bear	20%	Credit worsens; synergies slip; capital constrained	C$119

The probability-weighted scenario value is C$174. Our C$175 target implies 13.4% price appreciation and approximately 18.3% total return including estimated dividends through December 2025. We rate RY Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- HSBC Canada client retention and synergies exceed plan.
- Credit losses peak below expectations.
- Capital Markets and Wealth sustain share gains.
- CET1 rebuild supports buybacks sooner.

DOWNSIDE RISKS

- Canadian consumer or housing credit deteriorates.
- HSBC integration costs or attrition exceed plan.
- Capital requirements constrain distributions.
- Capital Markets earnings normalize sharply.

METHODOLOGY AND SOURCE NOTES

1. Royal Bank of Canada Q2 2024 report and supplement dated 30 May 2024: https://www.rbc.com/investor-relations/_assets-custom/pdf/2024q2_report.pdf and https://www.rbc.com/investor-relations/_assets-custom/pdf/24q2supp.pdf

2. Royal Bank of Canada HSBC Canada closing release dated 28 March 2024: https://www.rbc.com/newsroom/news/article.html?article=125885

3. Market data: RY raw TSX close of C$154.30 on 22 August 2024: https://query2.finance.yahoo.com/v8/finance/chart/RY.TO?period1=1692748800&period2=1724371200&interval=1d&events=history

4. *FY22 predates IFRS 17 and is not fully comparable with FY23 and later; FY23 uses the IFRS-17-restated comparative basis published in the Q2 supplement, which RBC cautions may not be fully comparable with future periods. FY24E net income and PCL are author estimates derived from H1 2024 results, the YTD credit run-rate and Q2 commentary, excluding subsequent actuals.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Royal Bank of Canada, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.